'unsustainable' outstanding debt can eventually be dealt with through some mix of repayment and forgiveness (when donors have more budget room).

A POSSIBLE ROLE FOR DEBT RELIEF

This is not to say debt relief never makes sense. Debt relief could effectively provide predictable additional resources directly to the budget (via the repayments that no longer have to be made) and could offer a way to force coordination on conditionality among donors. Equally important, debt relief could allow a poor country to obtain access to loans from private foreign investors. Private investors may be unwilling to lend to a highly indebted country for fear that the country will be unable to repay, but if official debt is completely forgiven, they will jump in to lend, because even the worst debtor can be trusted to service small amounts of debt. Thus, official creditors may be able to expand a country's access to private resources through debt forgiveness.

Would such additional resources from the private sector be beneficial? That depends on how much official debt is left on the books, on the nature of the recipient government, and on whether projects have a commercial or social orientation. Clearly, if most of the official debt is forgiven, the private sector has little need to be careful in its lending. Moreover, if the poor country's government is irresponsible it can build up debt again by spending on worthless projects. As a result, the citizens of the recipient country will not benefit from this renewed debt build-up. In addition, donor countries will likely suffer from 'forgiveness fatigue' the next time around. By contrast, moderate debt forgiveness can lead to higher-quality investment as the private sector will have to evaluate the profitability of projects carefully, which in turn can help improve the quality of commercial projects. Of course, if projects produce a social return but